

# LEASE TERMS SHEET

The Burton Inn — 24007 Vashon Highway SW, Vashon (Burton), Washington 98070

Draft v0.8 — July 23, 2026 — prepared from the July 2026 Rent Basis & Owner Return prospectus

*The specific, negotiated terms of this Lease. This Terms Sheet, together with its Exhibits, incorporates the Standard Lease Terms and the Definitions & Glossary (neutral standard form, Version 1.6, July 23, 2026), which are attached and apply unchanged. Where this Terms Sheet or an Exhibit is silent, the Standard Lease Terms and Definitions & Glossary control; in the event of a conflict, this Terms Sheet and its Exhibits prevail. The economic structure implements the deal described in "The Burton Inn — Rent Basis & Owner Return" (July 2026).*

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## 1 • THE PARTIES

**LANDLORD:** The Burton Landing LLC, a Washington limited liability company.

**TENANT (ENTITY):** eBerry LLC, a Washington limited liability company.

**TENANT ADDRESS:** 9405 SW Gorsuch Road, Vashon, WA 98070.

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## 2 • THE PREMISES

**PROPERTY / BUILDING:** The Burton Inn.

**ADDRESS:** 24007 Vashon Highway SW, Vashon (Burton), WA 98070.

**PREMISES:** The entire building, together with the underlying land, parking, and grounds. The Premises comprise the whole building and grounds leased to a single tenant; there are no Common Areas, no Proportionate Share, and no landlord relocation right (see Exhibit D, §D.2).

**APPROXIMATE SQUARE FOOTAGE:** Entire building (single-tenant).

**LEGAL DESCRIPTION:** See Exhibit A, attached.

**PROPORTIONATE SHARE:** 100% (single tenant; whole building).

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## 3 • THE TERM

**LEASE START DATE (COMMENCEMENT):** July 1, 2026. Possession has been delivered to and accepted by Tenant.

**TRIPLE-NET / UTILITIES START DATE:** August 1, 2026 (Landlord carries the Premises' costs for July 2026).

**RENT COMMENCEMENT DATE (BASE RENT):** July 1, 2027. Base Rent is abated in full during Lease Year 1 and begins on the first day of Lease Year 2.

**LEASE EXPIRATION DATE:** June 30, 2036 (ten Lease Years).

**LEASE YEARS:** Each Lease Year runs July 1 – June 30. Lease Year 1 is July 1, 2026 – June 30, 2027 (see Exhibit D, §D.6).

**EXTENSION OPTION:** One (1) option to extend for five (5) years (July 1, 2036 – June 30, 2041), on the terms stated in Exhibit D, §D.6.

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## 4 • FINANCIAL OBLIGATIONS

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**LEASE TYPE:** Triple Net (NNN) with Percentage Rent. Under Article 1.7 of the Standard Lease Terms, the NNN and Percentage-Rent provisions of **Exhibit D** modify and supersede Article 1 (CAM Charges) to the extent set forth therein.

**BASE RENT:** \$1,650.00 per month (\$19,800 per year), fixed for the entire Term with no escalation; abated in full during Lease Year 1 (see Exhibit D, §D.4).

**PERCENTAGE RENT:** Ten percent (10%) of Gross Revenue in excess of the Breakpoint, in every Lease Year including Lease Year 1 (see Exhibit D, §D.5).

**BREAKPOINT:** \$198,000 per Lease Year (the natural breakpoint: annual Base Rent ÷ 10%); fixed for the Term, prorated only for a partial final Lease Year.

**TRIPLE-NET EXPENSES (TENANT-PAID, AT ACTUAL COST):** Real property taxes (currently about \$8,500/yr), Landlord's building-insurance premiums (currently about \$6,500/yr), and routine maintenance and upkeep (currently about \$375/mo) — about \$19,500/yr today. Begins August 1, 2026 and applies in every Lease Year including Lease Year 1 (see Exhibit D, §D.3).

**DIRECT UTILITIES (TENANT-PAID):** Electricity, water, sewer/septic, garbage, propane or heating fuel, telephone, internet/data (accounts in Tenant's name); all utilities are direct (see Exhibit D, §D.10).

**SECURITY DEPOSIT:** None.

**GUARANTY:** None (no Exhibit B guaranty is attached).

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## 5 • OPERATIONS & SPECIAL CONDITIONS

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**PERMITTED USE:** Operation of an inn with up to four (4) guest rooms; a cocktail bar and restaurant with beer, wine, and spirits service; ticketed chef's dinners, tastings, and culinary events; pop-up, takeaway, and counter food service; rental of the commercial kitchen as a commissary to licensed

food businesses; private events and venue hire; and ancillary uses including retail sale of merchandise and provisions. Tenant shall use the Premises solely for this Permitted Use, per Article 3 of the Standard Lease Terms.

**DELIVERY CONDITION:** As-Is (possession delivered and accepted July 1, 2026), subject to Landlord's capital-systems scope and retained obligations under Exhibit D (§§D.7–D.8).

**PHASED OPENING:** Phase 1 — guest rooms open (the "Opening Date"); Phase 2 — kitchen, bar, and events, targeted about three (3) months later. Lease Years run on the fixed calendar above regardless of the pace of Tenant's fit-out (see Exhibit D, §D.6).

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## 6 • ADDITIONAL TERMS

*The following supplements the Standard Lease Terms. Where a term cites an article of the Standard Lease Terms, that article governs except as expressly modified here or in Exhibit D.*

**6.1** This Lease is Triple Net (NNN) with Percentage Rent. The provisions that adapt the Standard Lease Terms to this deal — the NNN pass-through (which, under Article 1.7, supersedes the CAM provisions of Article 1), the Percentage Rent, the single-tenant/whole-building adaptations, the phased opening and Base Rent abatement, Tenant's Work, Landlord's capital systems, and the additional insurance — are set out in **Exhibit D (Triple-Net, Percentage Rent & Single-Tenant Amendment)**. Exhibit D modifies and supplements the Standard Lease Terms and controls over them to the extent of any conflict.

**6.2** No special conditions apply other than those stated in this Terms Sheet and its Exhibits.

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## 7 • NOTICES

All notices under this Lease shall be in writing and delivered by personal delivery, overnight courier, or certified mail (return receipt requested), to the addresses below, effective on delivery or refusal. Any notice under chapter 59.12 RCW shall be served strictly as Washington law requires (including RCW 59.12.040). Email does not constitute legal notice of default. Either party may change its notice address by written notice.

**NOTICE TO LANDLORD:** The Burton Landing LLC, 24007 Vashon Highway SW, Vashon, WA 98070.

**NOTICE TO TENANT:** eBerry LLC, 9405 SW Gorsuch Road, Vashon, WA 98070.

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## 8 • INCORPORATION AND MERGER

This Lease Terms Sheet, together with its Exhibits, the **Standard Lease Terms**, and the **Definitions & Glossary** (neutral standard form, Version 1.6, July 23, 2026, attached and applying unchanged), constitutes the entire Commercial Lease Agreement for the Premises and supersedes all prior discussions, including the July 2026 prospectus (a planning document, not a contract, except as expressly implemented herein) and any letter of intent. Order of precedence: (1) this Terms Sheet; (2) the Exhibits, with Exhibit D controlling over the other Exhibits and over the Standard Lease Terms to the extent of any conflict; (3) the Standard Lease Terms; (4) the Definitions & Glossary. Amendments must be in a writing signed by both parties.

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## 9 • INDEX OF EXHIBITS

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- **Exhibit A** — Legal Description.
  - **Exhibit B** — Guaranty (none; not attached).
  - **Exhibit C** — Tenant Work Letter (Tenant-Funded Fit-Out).
  - **Exhibit D** — Triple-Net, Percentage Rent & Single-Tenant Amendment (includes Landlord's Capital Systems).
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## SIGNATURES

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By signing below, Landlord and Tenant agree to this Lease, comprising this Lease Terms Sheet (with its Exhibits), the Standard Lease Terms, and the Definitions & Glossary.

**LANDLORD:** The Burton Landing LLC, a Washington limited liability company

SIGNATURE: /sn1/

PRINTED NAME / TITLE: \_\_\_\_\_

DATE: /ds1/

**TENANT:** eBerry LLC, a Washington limited liability company

SIGNATURE: /sn2/

PRINTED NAME / TITLE: \_\_\_\_\_

DATE: /ds2/

*Notary acknowledgments to be attached (required for a lease term exceeding two years under Washington law; see Exhibit D, §D.15).*

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## EXHIBIT A: LEGAL DESCRIPTION

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The Premises are legally described as follows (abbreviated legal description, King County records):

**S 100 FT OF N 130 FT OF W 150 FT OF E 180 FT OF GOVT LOT 2 IN NE QTR STR 19-22-03**

(That is: the south 100 feet of the north 130 feet of the west 150 feet of the east 180 feet of Government Lot 2 in the northeast quarter of Section 19, Township 22 North, Range 3 East, W.M., King County, Washington.) If the full legal description in Landlord's vesting deed differs, the vesting deed controls.

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## **EXHIBIT B: GUARANTY**

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None. Tenant's obligations under this Lease are not guaranteed by any person or entity, and no guaranty is attached. (See Terms Sheet §1 and §4.)

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## **EXHIBIT C: TENANT WORK LETTER (TENANT-FUNDED FIT-OUT)**

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This is the Tenant Work Letter referenced in Article 2.3 of the Standard Lease Terms. Tenant shall fund and perform the following fit-out, with a total anticipated investment of approximately Ninety-Eight Thousand Dollars (\$98,000). Line amounts are Tenant's planning estimates; the obligation is to complete the described scope lien-free, not to spend a particular amount.

- **Flooring** — repair, refinish, and/or replace flooring throughout the guest rooms and public areas.
- **Paint** — full interior repaint; exterior touch-up as reasonably needed for opening.
- **Kitchen retrofit and permits** — commercial kitchen build-out sufficient for restaurant, bar, chef's-dinner, and commissary operation, including equipment, ventilation, and all required health-department and building permits.
- **Furnishings** — guest-room, bar, and dining furnishings and fixtures appropriate to a small destination inn.

**Phasing.** Phase 1 (before the Opening Date): guest rooms, associated public areas, and life-safety basics. Phase 2 (target: approximately three months after the Opening Date): kitchen, bar, and events spaces.

**Ownership.** Tenant's Work that is attached to or incorporated into the building (including flooring, finishes, the kitchen retrofit, and built-in furnishings) is a permanent Alteration that remains Landlord's property at the end of the tenancy under Article 4.5 of the Standard Lease Terms, without compensation — a bargained-for element of the rent structure. Tenant's movable Trade Fixtures, equipment, and inventory remain Tenant's and are removed at the end of the Term per Article 4.5.

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## EXHIBIT D: TRIPLE-NET, PERCENTAGE RENT & SINGLE-TENANT AMENDMENT

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*This Exhibit D is the "NNN Lease Amendment" referenced in Article 1.7 of the Standard Lease Terms, and it further modifies and supplements the Standard Lease Terms to reflect that the Premises are the entire building leased to a single tenant and that the Lease includes Percentage Rent. Capitalized terms not defined here have the meanings in the Terms Sheet or the Definitions & Glossary. Where this Exhibit conflicts with the Standard Lease Terms, this Exhibit controls; where it conflicts with the Terms Sheet, the Terms Sheet controls.*

**D.1 Additional Definitions.** For this Lease: "**Breakpoint**," "**Base Rent**," and "**Percentage Rent Rate**" have the values stated in Section 4 of the Terms Sheet. "**Lease Year**" is defined in §D.6. "**Opening Date**" is the date the guest rooms first open to paying guests (Phase 1). "**Gross Revenue**" is defined in §D.5.

**D.2 Single-Tenant, Whole-Building Premises.** The Premises are the entire Building and grounds, leased to Tenant as the sole tenant. Accordingly: there are no Common Areas and no Proportionate Share; every reference in the Standard Lease Terms to Common Areas, Proportionate Share, other tenants, or shared facilities is inapplicable; and **Article 12 (Relocation of Tenant) does not apply**. Tenant's rights extend to the entire Premises for the entire Term.

**D.3 Triple-Net Expenses; Supersession of CAM (Article 1).** This Lease is Triple Net. In lieu of the CAM Charges, estimate/reconciliation, and CAM audit provisions of Article 1 (Sections 1.3–1.6), Tenant shall pay, directly and at actual cost, from the Triple-Net Start Date stated in the Terms Sheet and in every Lease Year thereafter (including the remainder of Lease Year 1): (a) all real property taxes, assessments, and surface-water-management charges levied against the Premises for periods within the Term; (b) Landlord's building-insurance premiums (special-form property at replacement cost, plus liability for Landlord's ownership interest); and (c) all routine maintenance and upkeep of the Premises under §D.7. Landlord shall deliver each tax and premium statement to Tenant promptly on receipt, and Tenant shall pay it (or reimburse Landlord) at least thirty (30) days before delinquency or within thirty (30) days after invoice, respectively. There is no CAM estimate, no Proportionate Share, and no base year; costs pass through at actuals as they change. Landlord carries the Premises' costs for any portion of the Term before the Triple-Net Start Date.

**D.4 Base Rent; Year 1 Abatement; No Escalation.** Base Rent is the amount stated in Section 4 of the Terms Sheet, payable under Article 1.1. It is abated in full from the Commencement Date through the last day of Lease Year 1 and commences on the Rent Commencement Date stated in the Terms Sheet; the abatement applies to Base Rent only (Percentage Rent, Triple-Net Expenses, and utilities are payable during Lease Year 1). Base Rent is flat for the entire Term; the parties intend Percentage Rent (§D.5), against a fixed Breakpoint, to be the escalator.

**D.5 Percentage Rent.** In addition to Base Rent, for each Lease Year Tenant shall pay Landlord Percentage Rent equal to the Percentage Rent Rate applied to the amount by which Gross Revenue for that Lease Year exceeds the Breakpoint (each as stated in Section 4 of the Terms Sheet). Percentage Rent is Additional Rent under the Standard Lease Terms.

- **(a) Gross Revenue.** "Gross Revenue" means the entire amount of revenue, whether cash, card, electronic, or credit, and whether collected directly or through booking platforms, ticketing services, or other intermediaries (without deduction for platform or processing fees), generated by

or arising from business conducted at, from, or originating from the Premises — including guest-room and lodging charges; food and beverage sales; ticket sales for dinners, tastings, and events; pop-up and takeaway sales; commissary and kitchen-rental fees; venue, event, and private-hire fees; and merchandise sales — calculated from receipts, with no expense accounting.

- **(b) Exclusions.** Gross Revenue excludes only: sales, lodging, liquor, and similar taxes collected and remitted; bona fide refunds, credits, and voided transactions; tips and gratuities paid over to employees; proceeds of insurance or condemnation; security or reservation deposits until applied or forfeited; and proceeds from the sale of used furniture, fixtures, or equipment in the ordinary course of replacement.
- **(c) Breakpoint timing.** The full Breakpoint (not prorated) applies to Lease Year 1 notwithstanding the staged opening; for any partial final Lease Year, the Breakpoint is prorated by days.
- **(d) Statements and payment.** Within twenty (20) days after each calendar month from the Commencement Date, Tenant shall deliver a written statement of Gross Revenue for that month, broken out by line of business. Within thirty (30) days after each calendar quarter, Tenant shall pay Percentage Rent computed cumulatively for the Lease Year to date, less amounts already paid. Within ninety (90) days after each Lease Year, Tenant shall deliver a reconciliation statement certified by an officer or manager of Tenant, with payment of any deficiency; overpayment is credited to the next Percentage Rent due (or refunded within thirty (30) days after the Term).
- **(e) Records and audit.** Tenant shall keep complete point-of-sale (POS) and booking records for at least three (3) years after each Lease Year. Not more than once per Lease Year, on fifteen (15) days' notice, Landlord (or its accountant) may audit those records for the preceding two (2) Lease Years. Tenant shall pay any disclosed deficiency plus interest at the Article 1.2 rate within thirty (30) days; and if the understatement for the audited Lease Year exceeds the audit-cost threshold stated in Section 4 of the Terms Sheet (ten percent (10%)), Tenant shall also reimburse Landlord's reasonable audit cost. Records and audit results are confidential under Article 18.8.
- **(f) Operating covenant.** From the Opening Date, Tenant shall continuously operate the inn business in the ordinary course, consistent with the Permitted Use, subject to closures for the Exhibit C fit-out phases, casualty, condemnation, remodeling, repairs, and Force Majeure, and to seasonal closures not exceeding six (6) weeks per Lease Year in the aggregate. Nothing requires any line of business to meet any revenue level; if revenue falls, Percentage Rent falls with it.

**D.6 Term; Lease Year; Commencement; Phased Opening; Extension.** The "Commencement Date," "Rent Commencement Date," and "Lease Expiration Date" are as stated in Section 3 of the Terms Sheet. Each "Lease Year" runs July 1 – June 30 (Lease Year 1: July 1, 2026 – June 30, 2027); the final Lease Year ends on the last day of the Term; all Gross Revenue from and after the Commencement Date is included in the Lease Year in which it arises. Tenant intends to open in two phases (Phase 1 guest rooms; Phase 2 kitchen, bar, and events, targeted about three (3) months later), pursued with commercially reasonable diligence; because Lease Years run on the fixed calendar above regardless of the pace of Tenant's fit-out, delay in opening extends neither the Base Rent abatement nor any other milestone. **Extension option:** provided no Event of Default then exists, Tenant may extend the Term once for five (5) years (July 1, 2036 – June 30, 2041), on the same terms except this option and the Lease Year 1 abatement, by written notice to Landlord given 9–15 months before the end of the initial Term.

**D.7 Maintenance; Landlord's Retained Scope (modifies Article 4).** Because the Premises are the whole building, Tenant shall, at its sole cost, maintain the entire Premises — interior and exterior,



grounds, walkways, parking, guest rooms, kitchen equipment, and building systems — in clean, safe, operable condition (ordinary wear and tear and insured casualty excepted), including routine and preventative maintenance of the HVAC installed under §D.8 through a licensed contractor. **Section 4.1 (HVAC as a CAM item) does not apply.** Landlord shall, at its sole cost (not passed through), maintain and repair the roof and roof membrane, the structural foundation and load-bearing walls, and shall replace (as distinct from routine maintenance) the §D.8 capital systems except where necessitated by Tenant's negligence or misuse. Article 4.2's structural obligations otherwise stand.

**D.8 Landlord's Capital Systems (Owner Scope).** The following capital building systems are Landlord's scope and cost (approximately \$50,000 combined), separate from the rent structure: (a) a **fire suppression system** designed, permitted, and installed as required by code for the Permitted Use; and (b) HVAC serving the Premises. Landlord shall complete each as needed to support Tenant's phased opening — any component legally required for Phase 1 before the Opening Date, and the remainder before the Phase 2 opening — subject to Force Majeure and Tenant cooperation. Routine maintenance thereafter is Tenant's (§D.7); full replacement is Landlord's.

**D.9 Utilities (modifies Article 5).** Tenant shall establish accounts in its own name and pay all utilities serving the Premises directly (electricity, water, sewer/septic, garbage, propane or heating fuel, telephone, internet). Because there are no Common Areas, **Section 5.2 (shared and common-area utilities via CAM) does not apply**; there are no shared utilities.

**D.10 Insurance (supplements Article 6).** In addition to the coverage required by Article 6, Tenant shall carry, from the date any alcohol is served, **liquor liability insurance** of at least \$1,000,000 per occurrence; and **business-income insurance** covering at least twelve (12) months of Rent. Tenant's liability policies (including liquor liability) name Landlord (and Landlord's lender, if any) as additional insured on a primary, non-contributory basis.

**D.11 Assignment; Ordinary-Course Occupancies (supplements Article 8).** The following are licenses in the ordinary course of the Permitted Use, not assignments or subleases, and require no consent: overnight guest stays; event and venue hires; ticketed dinners; pop-up arrangements with visiting chefs or vendors; and hourly or short-term commissary-kitchen use by licensed food businesses. Tenant remains fully responsible for the Premises and all such occupants, and all revenue therefrom is Gross Revenue. Article 8 otherwise governs assignments and subleases.

**D.12 No Option to Purchase.** Tenant has expressed a goal of purchasing the building around Lease Year 10. This is a goal only: nothing in this Lease grants Tenant an option to purchase, right of first refusal, or right of first offer, and nothing obligates either party to transact. Any sale would be by separate written agreement.

**D.13 Percentage Rent in Default Damages (supplements Article 9).** For purposes of computing damages under Article 9, Percentage Rent for future periods is deemed to equal the average annual Percentage Rent payable during the thirty-six (36) months preceding the default (or the actual period, if shorter).

**D.14 SNDA.** As a condition to subordination of this Lease to any future mortgage or deed of trust under Article 10.1, the holder shall deliver a commercially reasonable non-disturbance agreement recognizing this Lease (including the Base Rent abatement and Percentage Rent structure) so long as no Event of Default exists.



**D.15 Acknowledgment; Recording (supplements Article 18.9).** Because the Term exceeds two (2) years, the parties shall execute and acknowledge this Lease before a notary. Notwithstanding Article 18.9, at either party's request the parties shall execute a memorandum of lease in recordable form (omitting economic terms), recorded at the requesting party's cost; the Lease itself shall not be recorded.

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*End of the Lease Terms Sheet and Exhibits for The Burton Inn — Draft v0.8, July 23, 2026. To be read with the attached Standard Lease Terms and Definitions & Glossary (neutral standard form, Version 1.6, July 23, 2026).*